



CHIRUNDU TOWN COUNCIL



ANNUAL FINANCIAL REPORT FOR THE YEAR ENDED 31st DECEMBER 2024

TABLE OF CONTENTS	PAGE
Report of the Council	2-5
Statement of Responsibilities for Annual Financial Statements	6
Independent Auditor's Report	7-10
Statement of Cash Receipts and Payments	11
Statement of Comparison of Budget and Actual Amounts	12
Statement of Cash Receipts and Payments for Local Government Equalization Fund	13
Statement of Cash Receipts and Payments for Constituency Development Fund	14
Statement of Cash Receipts and Payments for ZDSP Capital Grant	15
Statement of Cash Receipts and Payments for Sector Grant	16
Summary of Significant Accounting Policies	17-22
Notes to the Financial Statements	23-39

REPORT OF THE COUNCIL

The Council has the pleasure of presenting the report together with the financial statements for the year ended 31st December 2024 which disclose the sources, utilization and balances of cash for Chirundu Town Council during the period under review.

Background and Location of the Council

The Council is located in Chirundu District in Lusaka Province of Zambia off Lusaka-Chirundu (T2) Road. The District is about 135 Kilometer (Km) south of the Nation's capital, Lusaka. The latitudinal and longitudinal position of Chirundu District is 16.03S:28.85E. Chirundu District has a total area of 2,265 square Kilometers (km²). As at the last Census of 2022, Chirundu District had a population of 78,780 people. The population has increased exponentially after the attainment of the District status. The District has (3) Chiefs namely Chipepo, Sinadambwe and Sikoongo.

Chirundu was officially declared a District by His Excellency The President Michael Chilufya Sata in January 2012. The District was initially part of Siavonga District in Southern Province, but now falls within the Lusaka Province, Chirundu Town Council was established on 31st August, 2012 through Statutory Instrument No. 41 of 2012. This Town Council has been in existence for over [11] years today. Its core mandate is not different from any other Local Authority enshrined in the Local Authority enshrined Government Act Cap 281 of the Laws of Zambia – schedules of functions (i), (ii) and (iii) summed up as Service Provision.

Vision:

Its vision is to be a leading Local Authority in the provision of quality services and creating an environment for economic growth and prosperity.

Mission Statement:

Its vision is to Provide World-Class Town Services through Operational Excellence and a Culture of Innovation while its mission is to provide Exceptional service for an Exceptional Community.

The address of the registered office of Chirundu Town Council (CTC) is as follows:

Ten (10) Houses,
P.O Box 30,
Civic Centre
CHIRUNDU

REPORT OF THE COUNCIL

Composition of the Council

Chirundu Town Council is a body corporate established under Article 152 of the Constitution of Zambia (Amendment) Act No.2 of 2016 and Section 6 of the Local Government Act, No. 2 of 2019 of the Laws of Zambia. As a Local Authority, the Town Council administers the Chirundu Town.

The Council is composed of an elected Council Chairperson, twelve (12) elected Councillors from twelve (12) Wards, and three (3) Chiefs as provided for under Article 153 (2)(c) of the Constitution of Zambia (Amendment) Act No.2 of 2016. The current Council was elected to office in 2021 to serve a five-year term up to 2026. The Vice Council Chairperson was elected from among the Councillors in 2023 for the period of two and half years.

The Councillors who held office during the year were:

S/N	NAME	GENDER	POSITION	WARD
1	Nevers M. Muchindu	Male	Council Chairperson	Not applicable
2	Benzia Siamuluwa	Male	Vice Chairperson	Nkandabbwe
3	Sharon Dimba Palicha	Female	Councillor	N'gombe Ilede
4	Norman Nalube	Male	Councillor	Chirundu Central
5	Wisdom Hakubija	Male	Councillor	Ibbewmunyama
6	Hendrex Mboози	Male	Councillor	Musaya
7	Masauso Sikaumbi	Male	Councillor	Sikoongo
8	Herold Hatyoka	Male	Councillor	Lusitu
9	Albert Muzuma	Male	Councillor	Kapululira
10	Robson Makwamba	Male	Councillor	Mushungu
11	Lucky Steward Hakooma	Male	Councillor	Chirundu West
12	Obrey Sintambo	Male	Councillor	Kanyanga
13	Wilfred Mwene	Male	Councillor	Njame
14	Edwin Siananzu	Male	Chief Chipepo	N/A
15	Sinyimeenda Choompwe (Late)	Male	Chief Sinandambwe	N/A
16	Isaac Muzokela (Late)	Male	Chief Sikoongo	N/A

The District also has one (1) elected Member of Parliament for Chirundu Constituency. The Member of Parliament who held office during the year was:

S/N	NAME	GENDER	CONSTITUENCY
1	Hon.Dougious Siakalima	Male	Chirundu

The affairs of Central Government in the district are coordinated by the District Commissioner. During the year under review Mr. Patrick Kasambila was the District Commissioner for Chirundu District.

REPORT OF THE COUNCIL

The Council Secretariat

The Secretariat of Chirundu Town Council is headed by the Council Secretary. The Council Secretary and the rest of the Secretariat are appointed by the Local Government Service Commission.

The Council Secretary is assisted by four (4) Heads of Departments responsible for Finance, Planning, Works and Human Resource and Administration and two (2) units namely Procurement and Internal Audit.

Functions of the Council

The main function of the Council is the delivery of local public goods and services to the people in the District and discharge all or any of the functions set out in Article 147 (2) (c) of the Constitution of Zambia (Amendments) Act No. 2 of 2016 and First Schedule of the Local Government Act No. 2 of 2019 which include, among others, power to make By-Laws, power to make regulations, imposition of levies, fees and charges and to formulate local policies to promote, guide and regulate development in the district through various relevant departments of the Council.

Financial Results

	2024	2023
	Kwacha	Kwacha
Cash Receipts	54,935,597	57,868,462
Payments	64,029,018	61,291,747
Increase/(Decrease) in Cash and Cash Equivalents	(9,093,421)	(3,423,285)

Key Policies Adopted During the Year

The Council adopted the following policy during the year:

- Upward adjustment of Fees and Charges by 5% to cater for the increased cost of service delivery.

Related Party Transactions

There were no related party transactions during the financial year.

Property, Plant and Equipment

The Council purchased property, plant and equipment amounting to K18,554,528 of which K16,017,279 was from the CDF funding, with K2,537,249 from other funding sources, while the Council did not receive any equipment from the Government during the year.

Intangible Assets

There were no purchases of intangible assets during the year.

Employees

The total number of employees at the beginning of the reporting period was 155, while the total number of employees at the end of the period was 179, as the contractual (casual) workers were offered permanent employment contracts. The total amount spent on employees' remuneration during the year was K18,947,844.

REPORT OF THE COUNCIL

Health and Safety of Employees

The Council is aware of its responsibilities regarding the safety and health of employees as prescribed in the Occupational, Health and Safety Act No. 36 of 2010 and took appropriate measures to safeguard their safety and health.

Traditional Ceremonies, Public Functions & Recreational Activities

The Council incurred a total of K426,811 during the financial year towards the participation of traditional ceremonies, public functions and various sporting activities under staff welfare.

Ward Development Fund (WDF)

The Council further incurred a total of K137,898 towards the annual Ward Development Fund (WDF) developmental programs, which included the provision of boreholes and other related programs.

Auditors

In line with Article 250 of the Constitution of Zambia (Amendment) Act No. 2 of 2016 and Section 44(2) of the Local Government Act No. 2 of 2019, the Council is audited by the Auditor-General.

By order of the Council

Signature:.....

Name:.....

Position: Council Chairperson

Date:.....



STATEMENT OF RESPONSIBILITIES FOR ANNUAL FINANCIAL STATEMENTS

The Chirundu Town Council is responsible for preparing the financial statements for the year ended 31st December 2024 which are free from material misstatement, whether due to fraud or error, and are prepared, in all material respects, in accordance with the Cash Basis International Public Sector Accounting Standard (IPSAS). In preparing the financial statements, the Council selected applicable policies from Local Authorities Accounting Policies (LAAPs) of October 2019 and then applied them consistently, making judgment and estimates that were reasonable and prudent.

The Council is also responsible for the maintenance of adequate accounting records and the preparation and integrity of the annual financial statements and related information. The Auditor-General has audited the financial statements and his report is shown on pages 7 to 10.

The Council accepts responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable estimates, in conformity with the Cash Basis IPSAS, the requirements of the Local Government Act No. 2 of 2019, the Public Finance Management Act No. 1 of 2018 and Local Authorities Accounting Policies (LAAPs) of 2019.

The Council further accepts responsibility:

- for the maintenance of accounting records that may be relied upon in the preparation of financial statements,
- for designing, implementing and maintaining systems of internal controls relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Nothing has come to the attention of the Council to indicate that the Chirundu Town Council will not remain a going concern for at least twelve months from the date of this statement.

In the opinion of the Council, proper books of accounts were maintained to support preparation of Financial Statements that present fairly the financial results of the Town Council for the financial year ended 31st December 2024.

Signed on behalf of the Council on by;

Name: LEYERS M. MUCHINDU

Signature: [Signature]

Position: Council Chairman

Name: KEBBY KAZOKA

Signature: [Signature]

Position: Finance Director

Name: J. M. CHIRUNDU

Signature: [Signature]

Position: Council Secretary





**REPUBLIC OF ZAMBIA
OFFICE OF THE AUDITOR GENERAL**

INDEPENDENT AUDITOR'S REPORT

**STAND No. 7951
HAILE SELASSIE AVENUE
LONGACRES
P.O BOX 50071
LUSAKA, ZAMBIA**

**E-mail: auditorg@ago.gov.zm
Website: www.ago.gov.zm
Telephone: +260252611/252771**

To the Minister – Ministry of Local Government and Rural Development

Report on the Audit of Chirundu Town Council Financial Statements for the Financial Year Ended 31st December, 2024

Opinion

I have audited the financial statements of Chirundu Town Council for the financial year ended 31st December 2024 which comprise Statement of Cash Receipts and Payments, Statement of Comparison of Budget and Actual Amounts, Statement of Cash Receipts and Payments for Local Government Equalization Fund (LGEF), the Statement of Cash Receipts and Payments for Constituency Development Fund (CDF), Statement of Cash Receipts and Payments for Zambia Devolution Support Programme (ZDSP) and Statement of Cash Receipts and Payments for Sector Grant (Devolved Functions) and a summary of significant accounting policies and disclosures and other explanatory information.

In my opinion, the accompanying financial statements of Chirundu Town Council present fairly, in all material respects, the Statement of Cash Receipts and Payments, Statement of Comparison of Budget and Actual Amounts, Statement of Cash Receipts and Payments for Local Government Equalization Fund (LGEF), Statement of Cash Receipts and Payments for Constituency Development Fund (CDF), Statement of Cash Receipts and Payments for Zambia Devolution Support Programme (ZDSP) and Statement of Cash Receipts and Payments for Sector Grant (Devolved Functions) for the year ended 31st December 2024 in accordance with the Cash Basis International Public Sector Accounting Standard (IPSAS) and the amended Local Authorities Accounting Policies (LAAPs).



**REPUBLIC OF ZAMBIA
OFFICE OF THE AUDITOR GENERAL**

Basis for Opinion

I conducted my audit in accordance with International Standards of Supreme Audit Institutions (ISSAIs). My responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of my report. I am independent of Chirundu Town Council in accordance with the International Organisation of Supreme Audit Institutions (INTOSAI) Code of Ethics together with the ethical requirements that are relevant to my audit of the financial statements in Zambia, and I have fulfilled my other ethical responsibilities in accordance with these requirements and the INTOSAI Code. I believe that the audit evidence I have obtained is sufficient and appropriate to provide a basis for my opinion.

Key Audit Matters

Key audit matters are those matters that, in my professional judgment, were of most significance in my audit of the financial statements. Key audit matters are selected from the matters communicated to those charged with governance but are not intended to represent all matters that were discussed with them.

However, I have determined that there are no key audit matters to communicate.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with Cash Basis International Public Sector Accounting Standard, the Local Government Act No.2 of 2019, the Public Finance Management Act No.1 of 2018 and Local Authorities Accounting Policies (LAAPs) of 2019, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Those charged with governance are responsible for overseeing Chirundu Town Council's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

My objectives are to obtain reasonable assurance about whether the financial statements, as a whole, are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes my opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISSAIs will always detect a material misstatement when it exists.



**REPUBLIC OF ZAMBIA
OFFICE OF THE AUDITOR GENERAL**

Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISSAIs, I exercise professional judgment and maintain professional scepticism throughout the audit. I also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for my opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of Chirundu Town Council's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on Chirundu Town Council's ability to continue as a going concern. If I conclude that a material uncertainty exists, I am required to draw attention in my auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify my opinion. My conclusions are based on the audit evidence obtained up to the date of my auditor's report. However, the going concern of Chirundu Town Council is dependent on the government policy decision.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

I communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that I identify during my audit.



**REPUBLIC OF ZAMBIA
OFFICE OF THE AUDITOR GENERAL**

I also provide those charged with governance with a statement that I have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on my independence, and where applicable, related safeguards.

In communicating with those charged with governance, I also determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. I describe these matters in my audit report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, I determine that a matter should not be communicated in my report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

Chirundu Town Council is required, under Section 45 of the Local Government Act No. 2 of 2019 to prepare a Statement of Comprehensive Income and a Statement of Financial Position. However, the Council prepared the Statement of Cash Receipts and Payments, the Statement of Comparison of Budget and Actual Amounts, Statement of Cash Receipts and Payments for Local Government Equalization Fund (LGEF), the Statement of Cash Receipts and Payments for Constituency Development Fund (CDF), Statement of Cash Receipts and Payments for Zambia Devolution Support Programme (ZDSP) and Statement of Cash Receipts and Payments for Sector Grant (Devolved Functions) using Cash Basis IPSAS in line with the LAAPS.

Dr. Ron M. Mwambwa, FCMA, FZICA, CGMA, CFE

ACTING AUDITOR GENERAL

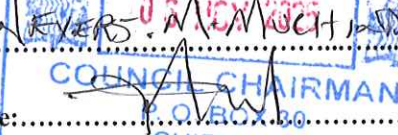
OFFICE OF THE AUDITOR GENERAL

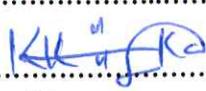
Date:10/11/.....2025

STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR THE YEAR ENDED 31ST DECEMBER 2024

	Note	2024 Kwacha	2023 Kwacha
RECEIPTS			
Local Taxes	2	486,568	325,162
Fees and Charges	3	20,310,710	19,134,695
Licences	4	371,877	220,900
Levies	5	186,848	163,188
Permits	6	2,073,393	1,522,608
Local Government Equalisation Fund	7	9,393,949	8,833,102
Constituency Development Fund	8	10,675,337	27,261,470
Other Grants	9	2,694,736	12,020
Borrowings	10	-	-
Commercial Venture	11	200,401	77,959
Sector Grant (Devolved Functions)	12	8,154,778	0
Other Receipts	13	387,000	317,359
TOTAL RECEIPTS		54,935,597	57,868,462
PAYMENTS			
Personal Emoluments	14	18,947,844	14,807,445
Use of Goods and Services	15	17,169,941	15,921,998
Financial Charges	16	-	-
Social benefits	17	7,662,922	9,500,657
Non-financial Assets Acquisition	18	18,554,528	15,097,519
Financial Assets	19	307,185	5,964,128
Loan Repayments	20	-	-
Other Payments	21	1,386,598	-
TOTAL PAYMENTS		64,029,018	61,291,747
Increase/(decrease) in Cash		(9,093,421)	(3,423,284)
Foreign Exchange Losses	22	-	-
Cash at beginning of the year	23	17,632,176	21,055,460
Cash at the end of the year	23	8,538,754	17,632,176

Incorporated in the payments recognised in this Statement are those for Local Government Equalisation, Constituency Development Funds, Zambia Devolution Support Programme and Sector Grant. However, the details of payments under each of these Funds are presented separately in each Fund's own Statement of Cash Receipts and Payments.

Name: **NEVER MAMUCHI**
Signature: 
Position: Council Chairman

Name: **KEBBY KAZOKA**
Signature: 
Position: Finance Director

Name: **A. S. M. C. M. M.**
Signature: 
Position: Council Secretary
OFFICE OF THE COUNCIL SECRETARY
P. O. BOX 30,
CHIRUNDU

STATEMENT OF COMPARISON OF BUDGET AND ACTUAL AMOUNTS FOR THE YEAR ENDED 31ST DECEMBER 2024

The composition of budget adjustments and explanations of major variances are provided in Note 23

	Original Budget	Adjustment	Final Budget	Actual Amounts	Performance	Variance	% Variance
	Kwacha	Kwacha	Kwacha	Kwacha	%	Kwacha	
RECEIPTS							
Local Taxes	934,214.43	-	934,214	486,568	52%	(447,646)	-48%
Fees and Charges	25,175,997.50	-	25,175,998	20,310,710	81%	(4,865,288)	-19%
Licences	355,050.00	-	355,050	371,877	105%	16,827	5%
Levies	133,900.00	-	133,900	186,848	140%	52,948	40%
Permits	2,007,550.00	-	2,007,550	2,073,393	103%	65,843	3%
Local Government Equalisation Fund	9,708,895.42	-	9,708,895	9,393,949	97%	(314,947)	-3%
Constituency Development Fund	30,635,641.96	-	30,635,642	10,675,337	35%	(19,960,305)	-65%
Other Grants	2,694,736.39	-	2,694,736	2,694,736	100%	-	0%
Borrowings	-	-	-	-	0%	-	0%
Commercial Venture	496,090.10	-	496,090	200,401	40%	(295,689)	-60%
Other Grants (Devolved)	6,620,111.11	-	6,620,111	8,154,778	123%	1,534,667	23%
Other Receipts	1,000,000.00	-	1,000,000	387,000	39%	(613,000)	-61%
TOTAL RECEIPTS	79,762,187	-	79,762,187	54,935,597	69%	(24,826,590)	-31%
PAYMENTS							
Personal Emoluments	21,037,626	-	21,037,626	18,947,844	90%	(2,089,782)	-10%
Use of Goods and Services	18,363,859.05	-	18,363,859	17,169,941	93%	(1,193,918)	-7%
Financial Charges	-	-	-	-	0%	-	0%
Social Benefits	8,149,080.77	-	8,149,081	7,662,922	0%	(486,159)	-6%
Non-Financial Assets Acquisition	28,719,158.17	-	28,719,158	18,554,528	65%	(10,164,630)	-35%
Financial Assets	3,492,463.22	-	3,492,463	307,185	9%	(3,185,278)	-91%
Loan Repayments	-	-	-	-	0%	-	0%
Other Payments	-	-	-	1,386,598	0%	1,386,598	0%
TOTAL PAYMENTS	79,762,187	-	79,762,187	64,029,018	80%	(15,733,169)	-20%

**STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR THE LOCAL GOVERNMENT
EQUALISATION FUND (LGEF) FOR YEAR ENDED 31ST DECEMBER 2024**

		2024	2023
	Notes	Kwacha	Kwacha
RECEIPTS			
Funding	7(a)	9,393,949	8,833,102
TOTAL RECEIPTS		9,393,949	8,833,102
PAYMENTS			
Operational Expenditure Payments:	7(b)		
Salaries and Wages		9,393,949	7,066,482
Terminal Benefits		-	-
Utility bills		-	-
Service Provision		-	-
Goods and Services		-	-
Administrative Costs		-	-
Other Costs		-	-
Sub-Total		9,393,949	7,066,482
Capital Expenditure Payments:	7(c)		
Infrastructure Development		-	-
Rehabilitation Works		-	-
Asset Acquisition		-	2,377,040
Other Project Admin/Costs		795,958	-
Sub-Total		795,958	2,377,040
TOTAL PAYMENTS		10,189,906	9,443,522
Increase/(decrease) in cash		-795,958	-610,420
Foreign Exchange Losses		-	-
Cash at beginning of the year		795,958	1,406,378
Cash at the end of the year		0	795,958

Note 7 explains the composition and other details relating to the various elements included in this Statement.

Name: NEVERE M. MUCKHOSU
Signature: [Signature]
Position: Council Chairman

Name: KEBBY KAZOKA
Signature: [Signature]
Position: Finance Director

Name: [Signature]
Signature: [Signature]
Position: Council Secretary

Note 8 explains the composition and other details relating to the various elements included in this financial statement.

Name:.....
Signature:.....
Position: Council Secretary

14

**STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR ZAMBIA DEVOLUTION
SUPPORT PROGRAMME- CAPITAL GRANT FOR YEAR ENDED 31ST DECEMBER 2024**

	Note	2024 Kwacha	2023 Kwacha
RECEIPTS			
Funding	9(a)	2,694,737	-
Other Receipts	9(b)	-	-
TOTAL RECEIPTS		<u>2,694,737</u>	<u>-</u>
PAYMENTS			
Goods and Services	9(c)	-	-
Non-financial Asset Acquisition	9(d)	-	-
Infrastructure Development	9(e)	-	-
Rehabilitation	9(f)	-	-
TOTAL PAYMENTS		<u>-</u>	<u>-</u>
Increase/(decrease) in cash		<u>2,694,737</u>	<u>-</u>
Foreign Exchange Losses		-	-
Cash at beginning of the year		-	-
Cash at the end of the year		<u>2,694,737</u>	<u>-</u>

REPUBLIC OF ZAMBIA
CHIRUNDU DISTRICT COUNCIL

Name: ALBERT MUKHINDO

Signature: [Signature]

Position: Council Chairman

Name: KERRY KAZOLKA

Signature: [Signature]

Position: Finance Director

Name: F. M. CHEEMBA

Signature: [Signature]

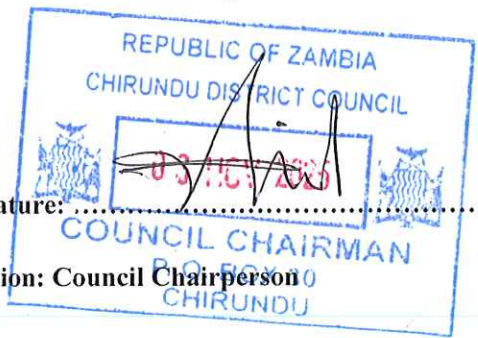
Position: Council Secretary

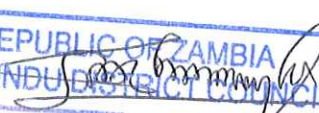
06 NOV 2025

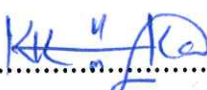
OFFICE OF THE COUNCIL SECRETARY
P. O. BOX 30,
CHIRUNDU

**STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR THE SECTOR GRANT
(DEVOLVED FUNCTION) FOR YEAR ENDED 31ST DECEMBER 2024**

		2024 Kwacha	2023 Kwacha
RECEIPTS			
Funding	12(a)	8,154,778	-
Other Receipts	12(b)	-	-
TOTAL RECEIPTS		8,154,778	-
PAYMENTS			
Goods and Services	12(c)	3,299,240	-
Non-financial Asset Acquisition	12(d)	-	-
Infrastructure Development	12(e)	1,681,400	-
Rehabilitation	12(f)	-	-
TOTAL PAYMENTS		4,980,640	-
Increase/(decrease) in cash		3,174,138	-
Foreign Exchange Losses		-	-
Cash at beginning of the year		-	-
Cash at the end of the year		3,174,138	-

Signature: .....
Position: Council Chairperson


Signature: .....
Position: Council Secretary


Signature: .....
Position: Finance Director

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

1. Basis of the Preparation of the Financial Statements

The Financial Statements have been prepared in accordance with Cash Basis IPSAS, *Financial Reporting under the Cash Basis of Accounting*, issued by the International Public Sector Accounting Standards Board (IPSASB) and Local Authorities Accounting Policies (LAAPs).

These financial statements have been prepared in accordance with the historical cost convention as the basis of measurement, unless specified otherwise.

The accounting policies have been applied consistently throughout the period.

1.1 Migration to Accrual Basis Financial Reporting

Chirundu Town Council is required, under the Local Government Act No. 2 of 2019 to produce a Statement of Comprehensive Income and a Statement of Financial Position. The production of these statements entails adoption and application of Accrual Basis of Accounting in financial reporting. However, the Act does not specify which particular accrual basis of accounting to use. In applying Cash Basis of Accounting, the Council followed guidance listed below:

- (a) Cash Basis IPSAS, *Financial Reporting under the Cash Basis of Accounting*.
This standard provides that public sector entities adopting Accrual Basis for the first time may apply Cash Basis IPSAS provisions as an intermediate step to assist them in the transition to Accrual Basis IPSASs. In this vein, the Council has produced these financial statements under Cash Basis IPSAS as part of its transition to Accrual Basis of Accounting.
- (b) Cash Basis IPSAS, *Financial Reporting under the Cash Basis of Accounting*.
This standard provides that public sector entities adopting Accrual Basis for the first time may apply Cash Basis IPSAS provisions as an intermediate step to assist them in the transition to Accrual Basis IPSASs. In this vein, the Council has produced these financial statements under Cash Basis IPSAS as part of its transition to Accrual Basis of Accounting.
- (c) Accounting Pronouncement: 2023/1 – Applicability of International Public Sector Accounting Standards (IPSASs)
This pronouncement issued by the Zambia Institute of Chartered Accountants (ZICA) pursuant to the Accountants Act No. 13 of 2008 requires the adoption of Accrual Basis of Accounting by public entities by 1st January 2025 with a transition period of three (3) years. The Council is preparing to adopt Accrual Basis IPSASs on 1st January 2028.

- (d) Treasury and Financial Management Circular No.18 of 2022 issued by the Secretary to the Treasury pursuant to the Public Financial Management Act, No. 1 of 2018.

The Treasury and Financial Management Circular provides as follows:

- i. That in order to have a standard financial reporting framework, all Local Authorities should adopt the International Public Sector Accounting Standards (IPSASs) Cash Basis of Accounting as a first step in migration to IPSASs Accrual Basis of Accounting.
- ii. Local Authorities shall use Part 2 of Cash Basis IPSAS which requires extra disclosures called 'Encouraged Additional Disclosures' in Cash Basis financial statements for the years ending 31st December 2025 up to 31st December 2027.
- iii. All Local Authorities shall adopt and apply Accrual Basis IPSAS of Accounting starting 1st January 2025 by following the guidelines provided in IPSAS 33 – "First Time Adoption of Accrual Basis IPSASs".
- iv. That the three (3) year transition period provided under IPSAS 33 should commence on 1st January 2025 and should end on 31st December 2027. Thereafter, all Local Authorities shall be required to comply fully with Accrual Basis IPSASs.

Based on these guidelines, the Council has not yet commenced production of Accrual Basis financial statements required by the Local Government Act, 2019. However, the Council has adopted Part 2 Cash Basis IPSAS, *Financial Reporting under the Cash Basis of Accounting* to help it transition its financial reporting to Accrual Basis IPSASs.

1.2 Reporting Entity

The Financial Statements are prepared for Chirundu Town Council (CTC). The financial statements encompass the Council as specified in the Constitution of Zambia (Amendment) Act No. 2 of 2016, the Local Government Act No. 2 of 2019, and the Public Finance Management Act No. 1 of 2018. It also includes projects and activities of the Constituency Development Fund, the Local Government Equalisation Fund, Sector Fund and Zambia Devolution Support Programme in the district.

1.3 Authorization Date

The financial statements were authorized for issue on by the Ordinary/Special Council.

1.4 Revenue

Revenue is recognized when cash is received. It is generated from various sources as explained below:

a. Local Taxes

Article 161 of the Constitution of Zambia (Amendment) Act No. 2 of 2016 authorises Chirundu Town Council as a Local Authority to levy, impose, recover and retain local taxes. Further, the Local Government Act No. 2 of 2019 section 25 (1) prescribes,

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

subject to the Constitution and the Business Regulatory Act of 2014, a system of local taxes which Local Authorities can raise by passing by-laws imposing levies on:

- Leviable persons owning or occupying property or premises situated within the area of the District;
- Leviable persons carrying on a business, trade or occupation within the area of the District; or
- The purchase or sale of a commodity within the area of the District.

b. Fees and Charges

Section 27 (1) of the Local Government Act No. 2 of 2019 empowers Local Authorities, subject to the Business Regulatory Act, 2014, to impose fees or charges payable to the Council:

- For any licenses or permit issued under any regulation or by-law made under the Act. These may include health permits, fire certificate licences, burial permits and extension of business hours permits;
- For any service or facility provided or goods or documents supplied by the local authority in pursuance of or in connection with the performance of any function of the local authority. These may include survey fees, consent fees, building inspection fees, waste collection fees and parking fees.

1.5 Expenditure

Expenditure is recognized when payment is made for expenses incurred. The Council incurs expenditure relating to the discharge of its functions which includes expenses relating to personal emoluments, use of goods and services, social benefits and acquisition of non-financial assets.

Items of a capital nature are expensed at the time of payment and such transactions are depicted in the appropriate class and heading in the financial statements. Since capital expenditure is expensed when incurred, neither depreciation nor amortization is charged on non-current assets.

1.6 Reporting on Gross Basis

Transactions are reported on gross basis without netting off similar classes of receipts and payments. However, transactions may be reported on net basis when they relate to transactions the Council administers on behalf of other entities recognised in the Financial Statements

1.7 Cash in hand at the Beginning and the End of the Year

Cash at the beginning and end of the year consist of cash on hand, demand deposits and cash equivalents held at such dates.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Cash on hand refers to notes and coins held by the Council at the reporting date and it includes petty cash and cash collections not yet deposited into bank accounts. Demand deposits consist of reconciled balances held in the Council's bank accounts which it can use on demand. Cash equivalents, on the other hand, refer to short term high liquid investments that can easily be converted to known amounts of cash and are subject to insignificant risk of change in values.

The Council recognises all short-term high liquid investments having maturities of three months or less as cash equivalents.

1.8 Local Government Equalization Fund

Article 163(2) of the Constitution of Zambia (Amendment) Act No. 2 of 2016 provides that Parliament shall annually appropriate monies to the Local Government Equalisation Fund which shall be disbursed by the Ministry responsible for finance to Local Authorities. Receipts under LGEF supplement revenue generated by the Council. The Council uses at least 20% of the funds received from the equalization fund, in any financial year, to finance capital expenditure and the balance to meet operational expenses.

1.9 Constituency Development Fund

The Constituency Development Fund (CDF) was established under Article 162(1) of the Constitution of Zambia (Amendment) Act No. 2 of 2016.

The fund was set up to finance micro-community projects for poverty reduction in communities and it is financed by monies appropriated by Parliament.

The administration of CDF is regulated by the Constituency Development Fund Act No. 11 of 2018. The Council maintains separate bank accounts for each constituency. Transfers are made from CDF into constituency bank accounts from which payments are made to finance approved CDF projects.

1.10 Other Grants

These include grants in lieu of rates and support from Cooperating Partners. Grants in lieu of rates are paid by the Government to the Council to cover property rates of Government properties in the district. Support from Cooperating Partners may consist of cash receipts under bilateral and multilateral agreements.

1.11 Presentation Currency

The presentation currency is Zambian Kwacha.

1.12 Foreign Currencies

Transactions in other currencies are converted into Zambian Kwacha using the ruling Bank exchange rates at the time of payment. Balances expressed in foreign currencies at the year-end are translated into Kwacha at the ruling rate then. The resulting difference from the conversion and translation are charged to the Statement of Cash Receipts and Payments.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

1.13 Borrowings

Borrowings comprise actual cash inflows received from financial institutions, bilateral and multilateral institutions.

1.14 Budgets and Actual Amounts

A final budget includes all adjustments (supplementary and re-allocations) made to the original approved budget during the year. Supplementary budgets consist of additional provisions beyond what was originally approved while re-allocations are approved budget variations.

The approved budget is developed on the same accounting and classification basis, and for the same period as for the financial statements. All material differences between final budgets and actual amounts are explained in the notes to the annual financial statements. Budget differences of 20% and above are considered material.

1.15 Encouraged Disclosures of Accrual Type of Items

During the year, the Council adopted Part 2 of Cash Basis IPSAS which provides extra Accrual Basis type of disclosures called Encouraged Additional Disclosures as follows:

i. Property, Plant and Equipment

These are assets that have useful economic lives or service potential of more than one year. They are recorded and disclosed at either cost or valuation. Valuations are conducted by the Government Valuation Department and the Council's own Valuation staff. Where valuation has been undertaken, the applicable valuation bases are as follows:

• Land	Current Value
• Buildings	Cost or Market Value
• Plant and Equipment	Cost

ii. Investments in Other Entities

The Council discloses the following details about its investments in other entities:

- (a) Name of the entity
- (b) Principal activity of the entity
- (c) Percentage of shareholding in the entity
- (d) Receipts in form of dividends and other returns on the investments

iii. Administered Transactions

Administered transactions are cash flows resulting from transactions administered by the Council as an agent of Central Government and any of its agencies. All cash collected in this manner is deposited into an account of the Central Government or its appropriate agent and such accounts are not controlled by the Council. The Council deems as part of cash under its control any collections made and administered by the Council on behalf of the Central Government but are allowed to be deposited in any of its bank accounts prior to its transfer to the Central Government or any of its agents.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

iv. Related Party Transactions

A related party is one that has the ability to control the Council or exercise significant influence over the Council in making financial and operating decisions. The related party entity is also any entity that is subject to common control with the Council.

Related parties include:

- (a) Entities that directly, or indirectly through one or more intermediaries, control, or are controlled by the Council;
- (b) Associates being entities over which the Council has significant influence
- (c) Individuals that have significant influence over the Council, and close members of the family of any such individual;
- (d) Key management personnel, and close members of the family of key management personnel; and;
- (e) Entities in which a substantial ownership interest is held, directly or indirectly, by any person described in (c) or (d), or over which such a person is able to exercise significant influence.

The key management personnel of the Council are:

- (a) the Mayor/Chairperson, elected councillors, co-opted members of the Audit and Procurement Committees, chiefs who are part of the council representing other chiefs in the district, and
- (b) The Principal Officers and Chief Officers.

Spouses, children and grandchildren, grandparents, brothers, sisters, parents in law, brothers in law, and sisters in law of key management personnel are related parties to the Local Authority.

The Council discloses the nature of the related party relationship as well as information about those transactions and outstanding balances as a note to the financial statements. Such transactions may include remuneration, loans and contracts awarded to key management personnel and their close relatives.

v. External Assistance

External assistance comprises loans and grants from multilateral and bilateral agencies provided under agreements specifying the purposes for which the assistance will be utilized.

Chirundu Town Council discloses total external assistance received in cash during the period, total external assistance paid by the agencies for the benefit of the council, external assistance received in form of loans and grants, their classifications, purposes for which it was received and undrawn balances.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

vi. Payments to Third Parties

Third party payments also known as direct payments are those that are made by third parties to construct or acquire property, plant and equipment and or pay for services on behalf of Chirundu Town Council. These do not constitute cash receipts and payments by the Council. They include payments for goods and services made by multilateral and bilateral aid agencies and non-governmental organizations and are included in the disclosures of external assistance.

NOTES TO THE FINANCIAL STATEMENTS

1. Local Taxes

During the year, the Council generated local tax cash receipts as follows:

	2024	2023
	Kwacha	Kwacha
Residential Rates	85,470	196,627
Industrial / Commercial Rates	208,908	77,650
Personal Levy	42,190	50,885
Grant in Lieu of Rates	150,000	-
Total	486,568	325,162

The Council relied on the Valuation Roll updated for the period 2023 – 2027 to determine the property rates receivable.

2. Fees and Charges

The Council generated cash receipts in form of fees and charges arising from offering various services as follows.

	2024	2023
	Kwacha	Kwacha
Fees and charges (a)	20,235,610	18,762,245
Land Development Charges (b)	75,100	372,450
Total	20,310,710	19,134,695

NOTES TO THE FINANCIAL STATEMENTS

a. Fees and charges

The Council generated the following fees:

Fees and Charges Type	2024	2023
	Kwacha	Kwacha
Consent Fees	-	2,050
Survey Fees	31,350	85,600
Building Inspection fees	24,535	10,900
Plan Scrutiny Fees	38,581	25,043
Rentals/Lease of Council's properties	500	-
Application Form Fees	-	119,860
Search Fees	50	-
Market Fees	41,539	26,972
Motor Vehicle Fees	19,535,733	17,835,414
Bus Station Fees	22,104	20,460
Affidavit Fees	-	500
Refuse Disposal Fees	109,447	68,386
Notice of Marriage	16,950	11,090
Abattoir/Meat Inspection Fees	-	142
Communication Mast Levy	25,000	29,330
Land Record	-	3,000
Billboard and Banner	58,450	47,960
Lease of Council Transport	182,485	-
Illegal Vending Fees	900	450
Penalties	33,330	68,671
Change of ownership of plot	4,000	-
Change of Land Use	21,850	19,000
Ntemba fees	2,000	1,400
Truck Parking	-	-
Registration of clubs and societies	12,350	104,090
Ablution Fees	63,336	106,123
Electricity & Water connections	870	-
Other Fees and Charges/other income	10,250	5,805
TOTAL	20,235,610	18,592,245

NOTES TO THE FINANCIAL STATEMENTS

b. Land Development Charges

The Council collected the following land development related charges (Other charges comprises of new business and one off adhoc charges);

Charges Type	2024	2023
	Kwacha	Kwacha
Service Charges - Residential Plots	72,200	312,500
Service Charges - Industrial Plots	2,900	59,950
Premium Plots - Residential	-	-
Premium Plots - Commercial	-	-
Lease Charges	-	-
Other (New Business & One-Off Charges)	-	-
TOTAL	75,100	372,450

3. Licenses

A total of K371,877 cash receipts was raised from issuance of various licenses.

Licence Type	2024	2023
	Kwacha	Kwacha
Occupancy licence	5,000	8,000
Hawkers licence	3,600	6,100
Lodger licence	1,800	5,400
Wholesale licence	-	-
Liquor licence	193,440	115,300
Firearm and ammunition licence	28,135	19,950
Petroleum licence	136,330	66,130
Dog licence	3,572	20
Other licences	-	-
TOTAL	371,877	220,900

NOTES TO THE FINANCIAL STATEMENTS

4. Levies

The Council generated cash receipts by charging levies totaling K186,848 broken down as follows:

Type of Levy	2024	2023
	Kwacha	Kwacha
Livestock Levy	55,032	21,590
Bird Levy	-	-
Fish Levy	270	150
Pole Levy	1,113	-
Charcoal Levy	59,735	55,800
Sand Levy	26,319	39,786
Crop Levy	43,709	43,255
Miscellaneous levies	670	2,607
TOTAL	186,848	163,188

5. Permits

The Council generated cash receipts from issuing various permits totaling K2,073,393 broken-down as follows:

Type of Permit	2024	2023
	Kwacha	Kwacha
Health Permit	411,867	229,570
Burial Permits and Grave sites	15,200	5,198
Fire Certificates	425,644	358,290
Extension of business hours permits	-	12,764
Public permits (social gatherings, etc)	1,350	8,650
Distributor Permit	66,750	69,450
Herbalist permit	720	870
Bussiness permit	1,060,589	829,316
Other Permits	91,274	8,500
TOTAL	2,073,393	1,522,608

NOTES TO THE FINANCIAL STATEMENTS

6. Local Government Equalization Fund

a. Funding

	2024	2023
	Kwacha	Kwacha
Funding (January)	748,997	741,459
Funding (February)	781,484	697,977
Funding (March)	752,174	722,309
Funding (April)	785,292	737,309
Funding (May)	785,296	745,001
Funding (June)	782,288	738,251
Funding (July)	859,214	749,001
Funding (August)	787,300	749,001
Funding (September)	786,304	750,809
Funding (October)	788,967	749,001
Funding (November)	788,479	708,676
Funding (December)	748,154	744,309
TOTAL	9,393,949	8,833,102

b. Operational Expenditure

The Council applied amounts totalling K9,393,949 of LGEF receipts towards meeting operational expenses representing 100% of the total LGEF funding for the reporting period. These expenses are included in the amounts disclosed in notes accompanying the Statement of Cash Receipts and Payments.

c. Capital Expenditure

The Local Authority applied amounts totalling K795,958 of previous year LGEF towards meeting capital expenditure during the reporting period.

7. Constituency Development Fund

The various elements constituting Statement of Cash Receipts and Payments for CDF are analyzed as follows:

a) CDF Funding

	2024	2023
	Kwacha	Kwacha
Constituency		
Chirundu	10,000,000	27,261,470
Total Funding	10,000,000	27,261,470

NOTES TO THE FINANCIAL STATEMENTS

b) Loan Repayment

The Council received a total of K675,337 from CDF loan repayments during the year under review.

	2024	2023
Constituency	Kwacha	Kwacha
Chirundu	675,337	241,963
Total Funding	675,337	241,963

Note: The CDF loan repayment amount for the year 2023 was recognised under Note 13 of the main Statement of cash receipts and payments for the year ended 31st December 2024.

c) Other CDF Sources of Funding

The Council did not report any funds under other CDF sources of funding, during the year under review.

d) Infrastructure Development

Infrastructure development works included construction works.

	2024	2023
Constituency	Kwacha	Kwacha
Construction of Primary schools	5,761,852	5,878,137
Construction of Seconadry schools	282,157	-
Constuction of Bridges	35,430	66,829
Construction of health post	3,760,421	571,208
Constuction of Boreholes	3,659,951	2,415,981
Construction of Staff House	2,203,440	902,984
Construction of Feeder Roads	29,128	599,899
Construction of Skills Center	284,901	-
Purchase of School Desks	-	2,017,930
Total Infrustructure payments	16,017,279	12,452,968

e) Rehabilitation Works

The Council did not carry out any Rehabilitation works during the year.

f) Asset Acquisition

The Council did not acquire any assets during the period under review.

g) Rural Electrification

The Council did not carry any rural electrification activities during the period under review.

NOTES TO THE FINANCIAL STATEMENTS

h) Youth & Women Empowerment Grants

	2024	2023
	Kwacha	Kwacha
Empowerment Grant		
Youth & Women Empowerment Grant	2,374,071	2,118,970
Total	2,374,071	2,118,970

i) Youth & Women Empowerment Loans

	2024	2023
	Kwacha	Kwacha
Empowerment Loan		
Youth & Women Empowerment Loans	-	5,964,128
Total	-	5,964,128

j) Secondary School and Skills Development Bursaries

	2024	2023
	Kwacha	Kwacha
Secondary Bursaries		
Skills Training	3,097,391	7,381,687
Total Bursaries cost	3,097,391	7,381,687

k) Administrative Costs

	2024	2023
	Kwacha	Kwacha
Constituency		
Admin cost	1,365,827	2,925,949
Other	-	-
Total	1,365,827	2,925,949

l) Disaster Contingency

	2024	2023
	Kwacha	Kwacha
Constituency		
Disaster Contingency Costs	644,564	0
Other	-	-
Total	644,564	-

NOTES TO THE FINANCIAL STATEMENTS

m) Other Payments

	2024	2023
	Kwacha	Kwacha
Other (Mopped Funds)	1,386,598	0
Total	1,386,598	-

8. Other grants

During the year, the Council received the following grants:

Revenue Source	2024	2023
	Kwacha	Kwacha
Capital Grant	2,694,737	-
Others	0	12,020
TOTAL	2,694,737	12,020

9. Borrowings

During the year under review, the Council did not receive any cash loan from any commercial financiers.

10. Commercial Venture

Commencement & Operations

The Council commenced operations for its maiden commercial venture on 12th September, 2023, focusing on the production of concrete blocks and pavers. During the year under review the factory produced a total of 167,783 pavers which is 4,195 pavers/square metre, with a closing stock was 495 square metres. The total Blocks produced and sold was 49,689.

During the period under review, the Block Making Factory reported a net surplus of K200,401.

NOTES TO THE FINANCIAL STATEMENTS

Block/Pavers Making Factory

	2024	2023
	Kwacha	Kwacha
Receipts		
Sales-Unit Sold (Block) K7.7/unit	381,455	-
Sales-Unit Sold (Block) K270/squ	999,000	-
Total	1,380,455	-
Payments		
Cost of sales	485,882	-
Wages	373,601	-
Electricity	10,000	-
Transport Cost	235,650	-
Fuel	33,550	-
Allowances	18,000	-
Maintenance and Repairs	23,370	-
	1,180,053	
Surplus	200,402	

11. Sector Grant

The Local Authority received Grants totalling K8,154,778.00 for the Devolved functions from the Central Government broken down as follows;

a) Funding

	2024	2023
	Kwacha	Kwacha
Cash for Work	5,102,942	-
Culture	10,026	-
Health	978,257	-
Livestock	51,627	-
Roads	1,715,472	-
Sports	215,517	-
VET (incl local income)	80,938	-
Total	8,154,778	-

b) Other Receipts

	2024	2023
	Kwacha	Kwacha
Other Receipts	-	-
Total	-	-

The Local Authority spent K3,299,240 for Goods and services and K1,681,400 for Infrastructure Development

NOTES TO THE FINANCIAL STATEMENTS

c) Goods & Services

	2024	2023
	Kwacha	Kwacha
Cash for Work	2,356,200	-
Culture	22,000	-
Health	704,100	-
Livestock	33,759	-
Sports	111,880	-
VET (incl local income)	71,301	-
Total	3,299,240	

d) Non-Financial Asset Acquisition

The Council did not procure any non -financial assets

e) Infrastructure Development

	2024	2023
	Kwacha	Kwacha
Road works	1,681,400	-
Total	1,681,400	

f) Rehabilitation

The council did not rehabilitate any structures/buildings.

12. Other Receipts

The Council recorded a total collection of K387,000 as Other Receipts, during the period under review. This comprised of local collections from the recently devolved functions and other one-off income.

Other Receipts	2024	2023
	Kwacha	Kwacha
Loan Repayment/recoveries	0	241,963
Other	387,000	75,396
Total	387,000	317,359

Note: CDF Loan Recoveries for the year 2024 valued at K675,337 has been aligned and recognised under 8b (CDF Loan Repayments) and is included in note 8 on combined statement of cash receipts and payments.

NOTES TO THE FINANCIAL STATEMENTS

13. Personal Emoluments

Personal Emoluments consist of actual amounts of salaries and wages paid to staff of the Council. The Council had categories of staff that were paid as follows:

Grade	2024	2023
	Kwacha	Kwacha
Salaries Division 1	3,377,885	2,703,058
Salaries Division 2	4,854,455	4,204,330
Salaries Division 3	5,374,958	4,783,682
Wages- Division 4	3,602,938	2,594,991
Other Emolument Costs	1,737,609	521,383
TOTAL	18,947,844	14,807,445

14. Use of Goods and Services

Use of Good and services consist of expenditure incurred on administrative activities

Expenditure Type	2024	2023
	Kwacha	Kwacha
Office Running Costs	368,190	952,459
Building, Repair and Maintenance Costs	274,921	787,101
Plant, Machinery and Vehicle Running and Ma	1,707,047	1,672,636
Other Administrative Operating Costs	4,972,725	3,551,960
Requisities	199,660	528,759
Services	5,755,816	2,806,198
Travel Expenses	1,970,123	1,155,570
Training	44,315	341,551
Legal Costs	51,402	168,733
Others Costs	1,825,742	3,957,031
TOTAL	17,169,941	15,921,998

15. Financial Charges

The Council did not incur any financial charges during the period under review.

16. Social Benefits

During the year, the Council recorded a total of K7,662,922 towards Social Benefits, broken down as K2,374,071 for CDF Empowerment Grants and K3,173,851 for CDF Secondary Boarding Schools and Skills Development Bursaries, while a total of K2,115,000 was disbursed under the Cash for Work program.

NOTES TO THE FINANCIAL STATEMENTS

17. Non-financial Asset Acquisition

Acquisition of assets involved the following payments:

	2024	2023
	Kwacha	Kwacha
Plant & Equipment	22,000	3,484
Purchase of Motor Vehicle	2,405,826	-
Purchase of Water Bowser	-	-
Purchase of Office Equipment	400	336,120
Purchase of Office Furniture	-	541,878
Construction of Building & Structures	1,396,850	1,763,069
Others (CDF Infrastructure Development)	14,729,452	12,452,968
TOTAL	18,554,528	15,097,519

18. Financial Assets

Acquisition of financial assets involved the following payments:

	2024	2023
	Kwacha	Kwacha
Community Loans	307,185	5,964,128
Staff Advances	-	-
Others (Staff Imprest)	-	-
TOTAL	307,185	5,964,128

19. Loan Repayments

The Council did not obtain any loan or credit facility from the Councils Bankers or and other Commercial Financiers.

Other Payments

- 20.** The Council recorded mopped funds from the CDF Programme, totaling K1,386,598 during the period under review.

	2024	2023
	Kwacha	Kwacha
Domestic Creditors	-	-
Staff Creditors	-	-
Other Payments (Mopped CDF Funds)	1,386,598	-
TOTAL	1,386,598	-

21. Foreign Exchange Losses

The council did not record any foreign exchange losses during the year. Foreign exchange losses arise from transactions made in other currencies and determined by reconciling opening cash to closing cash balances.

NOTES TO THE FINANCIAL STATEMENTS

22. Cash Balances

The Council's Cash amounts consisted of cash on hand, demand deposits and cash equivalents.

	2024	2023
	Kwacha	Kwacha
Cash on hand	-	-
Demand Deposits	8,538,754	17,632,176
Cash equivalents	-	-
TOTAL	8,538,754	17,632,176

a. Cash on hand

The Council had no cash on hand as at 31st December, 2024.

b. Demand Deposits -- Bank Balances

The Council had the following reconciled bank account balances as at the 31st December 2024:

Account Name	Account No	2024	2023
		Kwacha	Kwacha
District Fund A/c	Zanaco -1806881300167	789,554	1,049,529
Capital A/c	Zanaco -1806878300140	2,502,188	149,536
Market A/c	Zanaco -1806870300165	254	45,212
CDF A/c	Zanaco -1806878300241	1,118,350	15,695,694
CDF Revolving A/c	Zanaco -1806878300342	833,016	466,064
Chief Retainers A/c	Zanaco -1806881300470	5,308	5,308
Development Plan A/c	Zanaco -1806882300176	86,016	71,826
Sector A/c	Zanaco -1806878300645	3,174,138	-
AIDS Task Force	Zanaco -1806881300571	-	-
Rural Water A/c	Zanaco -1806881300369	20,774	-
Investment A/c	Zanaco -5183976300139	5,475	144,201
Fire A/c	Zanaco -1806881300672	123	1,323
Salary A/c	Zanaco -1806881300773	3,559	3,483
TOTAL		8,538,754	17,632,176

c. Cash Equivalents

The Council did not hold any Treasury Bills by the end of the year, or any part of the year.

23. Budget Adjustments and Variances

a. Budget Adjustments

The original budget was approved by the Minister responsible for Local Government effective 1st January, 2024. There were no subsequent approved adjustments to the budgets or approved supplementary provisions and approved budget, as can be seen below:

b. Budget Variances

The Council did not record any budget variance during the period under review.

NOTES TO THE FINANCIAL STATEMENTS

24. Provision of Services

The Town Council incurs expenditure to offering services it is mandated to provide to the residents of the District.

Type of Services	2024 Kwacha	2023 Kwacha
Printing	340	34,600
Advertisement and Publicity	24,400	54,221
Traditional ceremony	49,849	55,391
Public Functions and ceremonies	194,554	88,838
Boards, Councils and Committees expenses	676,519	281,816
Make zambia clean	57,651	1,015
Relief, Repatriation and Burial of Destitute	2,810	-
staff welfare and recreation(SPORTS)	182,408	126,727
Land Demarcation and Survey	2,670	1,898
Bush Clearing and Grass Cutting	-	9,267
Valuation of properties	-	-
Labour Day Expenses and Awards	90,110	60,290
Provision of fire services	400,759	424,745
Operations (Decentralisation and Local Government	-	10,898
Road Maintenance	52,363	65,505
Waste and Refuse Collection	904,925	447,957
Maintenance of street lights	3,350	49,942
Conferences, Semonars & workshops	597,091	492,544
Bank charges	74,436	84,048
Water facility supply	98,800	-
Sanitation supply	-	-
Market Facilities	-	-
Ward Development Fund	137,898	509,076
CDF Projects & Administration costs	16,116,050	11,851,247
Disaster Support	141,591	-
Cash For Work	2,115,000	-
Other Services	3,276,437	453,024
SUB TOTAL	25,200,010	15,103,047

NOTES TO THE FINANCIAL STATEMENTS

25. Property, Plant and Equipment

The Council had Property, Plant and Equipment valued at approximately K41,238,170 as at 31st December, 2024. This included CDF Infrastructure development valued at K16,017,279.

	Office Furniture & Fittings	Office Equipment	Plant & Machinery	Motor vehicles	Building & Structure	TOTAL
	Kwacha	Kwacha	Kwacha	Kwacha	Kwacha	Kwacha
Opening balance	460,596	268,896	12,302,749	1,295,926	13,931,717	28,259,884
Additions	-	400	22,000	2,405,826	16,126,302	18,554,528
Revaluation	-	-	-	-	-	-
Re-classification	-	-	-	-	-	-
Depreciation (Less)	115,149	67,324	3,081,187	740,351	1,572,231	5,576,242
Closing balance	345,447	201,972	9,243,562	2,961,402	28,485,787	41,238,170

26. Investments in Other Entities

The Council held shares in the following entities:

NAME OF ENTITY	PRINCIPAL ACTIVITY	PERCENTAGE SHAREHOLDING
Southern Water Supply and Sewerage Company	Water supply and sewerage services	50%

The Council did not receive any dividends from its investments during the period under review.

27. Administered Transactions

The Council did not collect **Withholding Taxes** on behalf of Zambia Revenue Authority during the period under review.

	2024 Kwacha	2023 Kwacha
ZRA Cash on 01/01/2023	-	-
ZRA Cash collected in the year	-	11,790
	-	11,790
Less transferred to ZRA	-	-
ZRA Cash on 31/01/2023	-	11,790

NOTES TO THE FINANCIAL STATEMENTS

28. Related Party Disclosures

The following disclosures are made in the financial statements of Chirundu Town Council:

a. Fringe benefits Disclosures

The Council Chairman was provided with a pool vehicle, an office and a shared personal assistant.

b. Remuneration of the Councilors

The aggregate remuneration of members of the Council and the number of individuals determined on a full-time equivalent basis receiving remuneration from Chirundu Town Council are:

Aggregate Remuneration (Monthly Gross)	K78,000
Number of persons	13

None of the councillors acquired loans from the Council during the period under review nor had any outstanding loans.

c. Remuneration of Senior Management

The aggregate remuneration of members of the Senior Management and the number of individuals determined on a full-time equivalent basis receiving remuneration from the Local Authority are:

Aggregate Remuneration (Monthly Net Year End)	K281,490.39
Number of persons	23

None of the members of senior management acquired loans from the Council during the period under review nor had any outstanding loans.

29. External Assistance

The Council did not record any external assistance during the year under review.

30. Third Party Payments

Chirundu Town Council did not benefit from payments made by third parties.